CAPITAL MARKETS

Cerberus Buys $1.3B Multifamily Loan Book: The Basis Is the Deal, Not the Regulation

A 92-cent bid on rent-stabilized debt reveals more about bank capital costs than about New York rent law.

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A source-grounded Light Tower Insight. The complete note follows.

Cerberus Capital Management just bought a $1.3 billion loan book from OceanFirst Financial Corp. at 92 cents on the dollar. The conventional reading is obvious: regional banks are fleeing New York rent regulation, and distressed-debt buyers are stepping in to pick up the pieces. That story is true as far as it goes. It is also incomplete.

The more revealing fact is not that OceanFirst sold. It is that Cerberus paid 92 cents. That price is not a distressed discount. It is a near-par bid on a portfolio that includes roughly $736 million in New York rent-regulated apartment loans. A buyer paying 92 cents is not betting on regulatory relief. It is betting that the underlying collateral generates enough cash flow to service debt at that basis, even under the current rent-stabilization regime.

That changes the question. The question is not whether regional banks are exiting rent-stabilized lending. They are. ConnectOne Bancorp announced its own exploration of a bulk sale the same week. The question is what the exit price reveals about the gap between bank cost of capital and the actual economics of the assets.

OceanFirst acquired this portfolio through its June acquisition of Flushing Financial Corp. It then moved to offload the exposure within weeks. That speed is the signal. The bank did not sell because the loans were about to default. It sold because the loans consumed regulatory capital at a rate the bank's equity investors would not tolerate. The 8-cent discount is not a measure of expected loss. It is the cost of removing an asset class from a bank balance sheet that the market has decided is too concentrated in rent-stabilized multifamily.

Cerberus, which manages roughly $70 billion in assets, does not face the same constraint. It has no quarterly return-on-equity target dictated by public shareholders. It has no regulator assigning risk weights to rent-stabilized loans. It has a hold period measured in years, not quarters. The 92-cent price gives it a yield that works inside that time frame, even if rent growth remains capped. The bank could not hold the same paper at the same yield because its cost of capital is higher and its tolerance for regulatory scrutiny is lower.

This is the mechanism that matters: the same loan has a different value on a bank balance sheet than on an alternative asset manager's books. The difference is not driven by underwriting or property performance. It is driven by the cost of the capital that sits behind the loan. Banks are selling not because the assets are bad, but because the capital that funds them is expensive relative to the return the assets produce.

That distinction has practical consequences. If the loans were truly distressed, Cerberus would have paid 75 or 80 cents. It paid 92. That means the buyer expects to collect full principal on the vast majority of these loans. The 8-cent haircut covers the cost of servicing a portfolio of 1,400 loans, the legal overhead of rent-stabilized litigation, and a modest cushion for the loans that do not perform. It is not a bet on default. It is a bet on patience.

ConnectOne's parallel move reinforces the pattern. The bank said it reduced its rent-stabilized exposure by 10 percent over the past year before announcing it is exploring a bulk sale. That is not a lender that just discovered regulatory risk. That is a lender that has been methodically shrinking a position it no longer wants to defend to its equity holders. The bulk sale is the final step, not the first.

The buyer side is equally instructive. Cerberus acquired the portfolio through its Residential Opportunities platform, which invests directly in properties, provides financing, and buys distressed loan books. This is not a one-off trade. It is a capital allocation strategy that depends on the gap between bank cost of capital and asset-level yield. As long as that gap persists, alternative managers will keep buying bank loan books at prices that look too high for distressed debt and too low for performing paper.

For owners of rent-stabilized buildings in New York, the implication is indirect but real. The Cerberus purchase does not signal that regulatory pressure will ease. It signals that there is a floor under the value of rent-stabilized debt, and that floor is set by institutional buyers with long-dated capital, not by bank credit committees. That floor matters because it determines how much equity a sponsor can extract in a refinancing, and whether a loan that comes due can be replaced at a similar basis.

The next thing to watch is not another bank sale. It is the terms of the next rent-stabilized loan that

Cerberus originates or acquires. If the buyer starts lending at tighter spreads than the regional banks were offering, the market will have its answer: the constraint was never the regulation. It was the cost of the capital that had to hold it.

SOURCES

— Propmodo — https://propmodo.com/distressed-multifamily-debt-finds-buyers-as-banks-exit-new-york-portfolios/

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